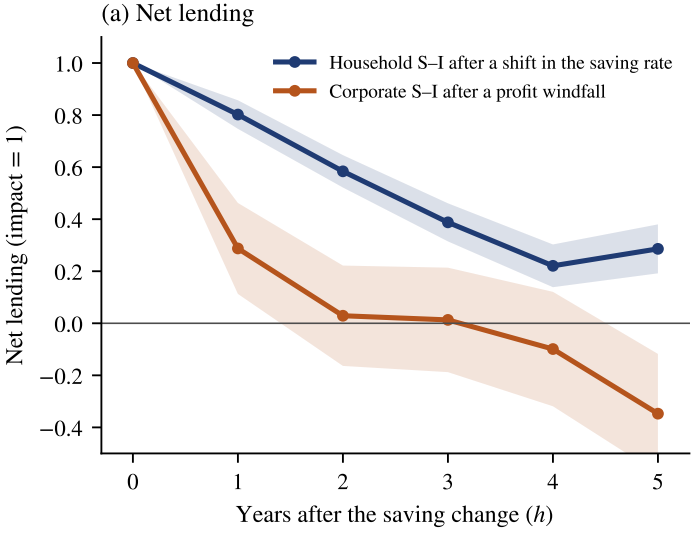
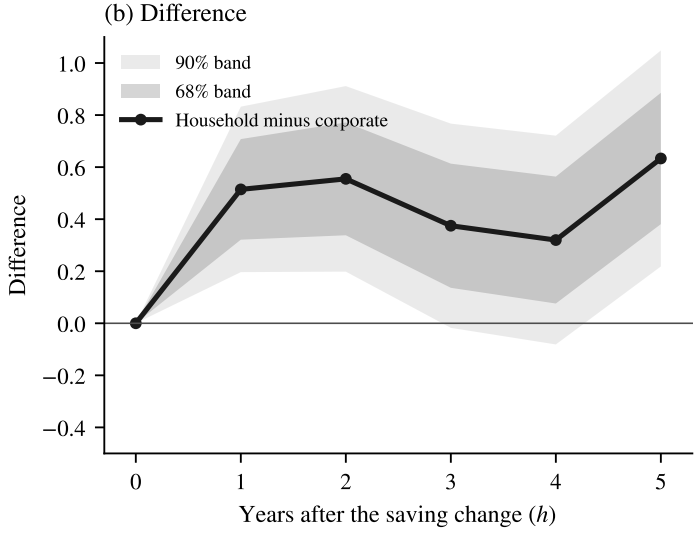
A profit windfall fades faster than a shift in household saving behavior





Notes: 898 country-years, 40 economies, start years 1973–2019. Local projections of each sector's net lending on the profit-windfall (corporations) or saving-rate (households) component of its saving change and the remaining component, with two lags of the sector's net lending (levels), both components and GDP growth, and country and year fixed effects; two-step weighted least squares. Normalized by the impact response. Bands: country-cluster delta method.